

■ Unexpected Returns

by Ed Easterling — Prosora Free Summary

CORE THESIS

Stock market returns over 10- to 20-year horizons are not random, nor do they default to a passive historical average; they are bound by starting valuation multiples and secular inflation dynamics. Ed Easterling's **Unexpected Returns** dismantles conventional financial advice by demonstrating that long-term investment outcomes are driven by secular bull and bear cycles dictated by price-to-earnings (P/E) expansion and compression. Investors who assume a constant 8–10% return without evaluating starting valuations are gambling on macroeconomic tailwinds rather than executing a sustainable strategy.

WHY THIS BOOK MATTERS

The wealth management industry relies heavily on a single dangerous assumption: that the stock market will always deliver its historical average return over any sufficiently long period. Wall Street routinely projects retirement plans using static historical compound returns, ignoring the reality of sequence-of-returns risk and starting valuation levels.

Unexpected Returns solves this systemic blind spot by exposing the underlying engine of market returns. Easterling challenges the prevailing dogma of passive "buy-and-hold" index investing, demonstrating that while buy-and-hold thrives during secular bull markets, it creates "lost decades" when initiated at valuation peaks.

This book forces a structural mindset shift:

* **From passive hope to structural analysis:** Moving away from blind faith in market averages toward analyzing the three core drivers of return (dividend yield, earnings growth, and P/E valuation shifts).

* **From time-in-the-market to timing-the-regime:** Recognizing that the macroeconomic environment—specifically inflation trends and starting valuation multiples—determines whether an investor should prioritize passive equity growth or tactical capital preservation and cash flow generation.

* **From average returns to compounded wealth:** Understanding how volatility and the sequencing of annual returns can destroy a portfolio even if the long-term arithmetic average looks acceptable on paper.

KEY LESSONS

Lesson 1: The Engine of Stock Returns Has Only Three Components

Stock market returns are not mysterious; they are mathematically dictated by three distinct components: dividend yield, earnings growth, and changes in the valuation multiple (P/E ratio). Price appreciation is simply earnings growth multiplied by changes in valuation. Over short periods, changes in the P/E ratio dominate market returns, creating dramatic price swings regardless of underlying corporate health. Over multi-decade periods, earnings growth and dividend reinvestment carry the heavy lifting.

If you purchase equities when starting valuation multiples are exceptionally high, the market requires decades of earnings growth just to offset the inevitable compression of that valuation multiple. For example, during the 1970s, corporate earnings grew at a robust rate, yet broad market indexes remained stagnant because the P/E ratio compressed from over 20x down to single digits.

Takeaway: Evaluate any stock index return projection by decomposing it into yield, earnings growth expectations, and potential P/E expansion or contraction.

Lesson 2: Secular Cycles Are Driven by P/E Expansion and Compression

Secular (long-term 10- to 20-year) bull and bear markets are not defined by whether earnings are growing, but by whether valuation multiples are expanding or contracting. A secular bull market occurs when the market moves from a low P/E environment to a high P/E environment, amplifying corporate earnings growth. A secular bear market occurs when the market transitions from a high P/E environment back to a low P/E environment, suppressing stock price gains even when earnings rise.

Cyclical bull and bear markets (lasting several months to a few years) occur **within** these broader secular regimes. Investors often mistake a violent cyclical bull market for the start of a new secular regime, leading them to buy aggressively at peak valuations. During secular bear regimes, cyclical rallies are ultimately contained by the multi-year tide of valuation compression.

Takeaway: Identify the prevailing secular regime by comparing current P/E multiples against historical averages before committing long-term capital to equity allocations.

Lesson 3: The Flaw of Averages and Sequence-of>Returns Risk

The standard financial planning practice of using average historical returns (e.g., 10% annually) to forecast future wealth is mathematically flawed. First, the arithmetic average of a volatile series of returns is always higher than the actual compound annual growth rate (CAGR). Second, the order in which returns occur—the sequence of returns—matters immensely, particularly for portfolios subject to ongoing contributions or withdrawals.

If an investor experiences a secular bear market during the first decade of retirement, taking cash withdrawals from a shrinking principal permanently impairs the portfolio's compounding capacity. Even if a strong secular bull market follows decades later, the capital lost to early drawdowns cannot be recovered. Volatility is not merely a psychological test; it is a structural drag on wealth accumulation.

Takeaway: Stress-test your financial plan against extended periods of zero net capital appreciation, focusing on cash flow returns rather than assumed average annual growth rates.

Lesson 4: Inflation and Deflation Are Dual Threats to P/E Multiples

Valuation multiples do not move randomly; they respond directly to the rate of inflation. Stock market valuations reach their absolute peak when inflation is low and stable—historically around 1% to 2%. Easterling calls this optimal inflation zone the "Crest of Valuation."

When inflation moves significantly above this sweet spot, P/E multiples contract because high inflation reduces the real value of future corporate earnings and increases input costs. Conversely, when the economy drops into deflation, P/E multiples also contract dramatically because deflation signals economic distress, debt default risks, and top-line revenue erosion. Both high inflation and deflation drag P/E ratios toward single digits, triggering secular bear markets.

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HIGH P/E MULTIPLES

(Peak Valuations)

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LOW P/E / \ LOW P/E

(Deflation Drag) (Inflation Drag)

Deflation <--- 1-2% ---> High Inflation

Sweet Spot

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Takeaway: Monitor inflation trends closely; any sustained movement away from stable, low inflation toward either high inflation or deflation will press P/E ratios downward.

Lesson 5: Starting Valuations Determine Decadal Performance

The starting valuation at the moment you invest is the single greatest predictor of your return over the subsequent 10 to 20 years. When you buy equities at low P/E multiples (e.g., below 10x), you benefit from both low entry prices and potential future P/E expansion. When you buy at high P/E multiples (e.g., above 20x–25x), your future return potential is capped, and your downside risk over a decade-long horizon increases significantly.

Historical data confirms that 10-year annualized returns following periods of peak valuation have frequently drifted near 0%, or even negative in real terms. Conversely, 10-year returns following valuation troughs have consistently yielded double-digit annualized performance. The market does not reward time-in-the-market equally; entry valuation sets the trajectory.

Takeaway: Reduce aggressive broad-market equity exposure when baseline valuation metrics (such as normalized P/E ratios) reside in their highest historical quintile.

Lesson 6: Dividend Yield Is the Crucial Anchor of Total Return

In low-return, secular bear regimes, dividend yields account for the majority of real equity returns. During secular bull markets, rapid price appreciation hides low dividend yields. However, when P/E multiples compress, stock price appreciation stalls, making cash flow from dividends the primary source of portfolio growth.

Furthermore, dividend yields are inversely correlated with valuation multiples. High initial valuations mean historically low dividend yields (e.g., 1–2%), removing the natural return floor that high dividend yields (e.g., 4–6%) provide during market downturns. Reinvesting high dividend yields during low-valuation periods creates a powerful compounding flywheel, while reinvesting low yields during high-valuation periods yields minimal long-term benefit.

Takeaway: Shift focus from speculative capital growth to high dividend yields and dividend growth when market valuations are high and secular bear market conditions prevail.

Lesson 7: Buy-and-Hold Belongs to Secular Bulls, Not Secular Bears

The strategy of passive index buy-and-hold works effectively during secular bull markets when expanding P/E ratios lift all sectors. Applying buy-and-hold during a secular bear market, however, subjects capital to extended periods of drawdowns and stagnation, resulting in lost compounding time that investors cannot regain.

Secular bear markets require active management strategies focused on capital preservation, range-bound trading, absolute return approaches, and cash-flow generation. Holding an S&P 500 index fund from 1966 to 1982 or from 2000 to 2011 yielded near-zero nominal price returns. Navigating these periods successfully requires tactical asset allocation, sector rotation, short-term income generation, and risk mitigation tools rather than passive buy-and-hold index tracking.

Takeaway: Adopt an absolute-return mindset during secular bear markets, switching from broad passive equity indexing to strategies designed to preserve capital and capture modest, steady yields.

Lesson 8: Rebalancing Is an Engine for Alpha in Sideways Markets

In a secular bear market—where stocks move through wide cyclical swings but end up flat after a decade—portfolio rebalancing shifts from a routine maintenance task to a primary driver of investment returns. Rebalancing systematically forces an investor to sell assets that have recently rallied (taking profits at high cyclical valuations) and purchase assets that have

dropped (buying at low cyclical valuations).

In a secular bull market, rebalancing can slow performance by trimming winning momentum assets. However, in a range-bound, volatile secular bear market, periodic rebalancing converts market volatility into compound portfolio returns. It automates buying low and selling high, generating performance independent of secular trend direction.

Takeaway: Implement strict, disciplined rebalancing bands across non-correlated asset classes to harvest returns generated by cyclical volatility in sideways markets.

Lesson 9: Nominal Returns Are an Illusion; Real Purchasing Power Is the Goal

Evaluating investment performance purely in nominal dollar terms hides the destructive impact of inflation and taxation on purchasing power. A portfolio that returns 6% nominally during an era of 6% inflation delivers a zero percent real return before taxes, and a negative return once taxes are deducted.

Secular cycles must always be evaluated in real (inflation-adjusted) terms. Secular bear markets are frequently characterized by nominal price gains that fail to keep pace with inflation. True financial independence relies on growing purchasing power, not accumulating nominal currency units. Portfolios must be structured to generate returns that clear the combined hurdles of real inflation and marginal tax liabilities.

Takeaway: Track and measure portfolio performance exclusively in net, inflation-adjusted real returns after tax liabilities are deducted.

POWERFUL QUOTES

* "Secular bull markets are born out of low valuations and fueled by rising P/E ratios; secular bear markets begin at high valuations and are plagued by P/E compression."

— *Explains why macro price movements are primarily driven by shifts in market psychology and valuation, rather than corporate earnings performance alone.*

* "The average return is an illusion created by arithmetic; compound returns are the reality dictated by volatility and sequence."

— *Highlights how reliance on simple average returns leads investors to miscalculate their long-term financial security.*

* "Inflation and deflation are two sides of the same coin—both disrupt economic stability and destroy stock market valuation multiples."

— *Emphasizes that price stability is the single essential macroeconomic environment required for peak equity valuations.*

* "Buy-and-hold is not a strategy for all seasons; it is a strategy for secular bull markets that turns into passive endurance during secular bears."

— *Dismantles the belief that holding broad stock index funds works effectively regardless of market conditions.*

MYTHS THIS BOOK DESTROYS

Myth 1: "The stock market reliably delivers an 8-10% return over any 10- to 20-year horizon."

* **What people believe:** Provided you hold equities long enough, the market will revert to its historical compound return, guaranteeing long-term wealth accumulation.

* **What the book reveals:** Long-term returns are strongly dependent on starting valuations. Investors who buy at high P/E multiples frequently experience 10- to 20-year periods of near-zero real returns (e.g., 1929–1949, 1966–1982, 2000–2009). The average return is an aggregate across multiple secular cycles, not a guaranteed return for any specific time window.

Myth 2: "Passive broad-market index buy-and-hold is always the best strategy for individual investors."

* **What people believe:** Attempting to adjust allocations based on market conditions is market timing and consistently underperforms passive indexing.

* **What the book reveals:** Buy-and-hold depends on expanding P/E ratios to offset market drawdowns. During secular bear regimes, holding broad stock indexes subjects investors to severe drawdowns and long periods of stagnation. Success in secular bear markets requires tactical asset allocation, active risk management, and focus on absolute returns.

Myth 3: "Strong corporate earnings growth guarantees rising stock prices."

* **What people believe:** As long as the broader economy grows and corporate earnings expand, stock prices will follow.

* **What the book reveals:** Corporate earnings growth can be entirely offset by valuation compression. If earnings grow by 5% annually over a decade, but the P/E ratio contracts from 24x to 12x over that same decade, stock prices will remain stagnant or decline despite solid business earnings growth.

Myth 4: "Deflation is good for financial markets because it increases the purchasing power of money."

* **What people believe:** Declining consumer prices make goods cheaper, benefiting consumers and businesses alike.

* **What the book reveals:** Deflation triggers economic instability, increases the real burden of corporate debt, and erodes corporate pricing power. This leads to shrinking profit margins and forces valuation multiples down just as severely as high inflation does. The peak valuation sweet spot requires moderate, predictable stability, not falling prices.

30-DAY ACTION PLAN

Week 1: Valuation Audit & Macro Regime Assessment

* **Calculate portfolio normalized P/E:** Assess the current valuation levels of your equity holdings using cyclically adjusted valuation metrics (such as the Shiller P/E or normalized P/E ratio) relative to historical norms.

* **Determine the current inflation regime:** Evaluate current inflation trends to identify whether the economy sits in the low-inflation sweet spot (1-2%) or is drifting into high inflation or deflation.

* **Identify your secular climate:** Determine whether broad market indexes are operating under conditions favorable for secular P/E expansion or secular P/E compression.

Week 2: Stress-Testing & Return Decomposition

* **Deconstruct return projections:** Analyze your financial plan's return assumptions. Break down your projected equity returns into expected dividend yield, realistic long-term earnings growth (historically ~4-5% nominal), and potential P/E expansion or contraction.

* **Run sequence-of-returns simulations:** Stress-test your portfolio against a 15-year secular bear market scenario featuring 0% nominal capital growth and elevated volatility, particularly if you are within ten years of retirement.

* **Calculate net real return targets:** Adjust target returns for projected inflation and taxes to determine your required real rate of return.

Week 3: Portfolio Restructuring & Risk Mitigation

* **Adjust baseline allocations:** If current market valuations sit in top-quintile territory, reduce broad passive market index exposure in favor of capital preservation assets, value-oriented holdings, and dividend-yielding equities.

* **Implement absolute-return allocations:** Allocate a portion of capital to strategies designed to generate returns independent of broad index movements, such as tactical asset allocation models, long/short income strategies, or short-duration debt.

* **Establish cash flow anchors:** Prioritize assets that generate reliable cash yields (e.g., dividend-paying equities, short-term Treasuries, real estate investment trusts) to ensure portfolio cash flows do not depend on stock price growth.

Week 4: Tactical Execution Rules & Rebalancing Infrastructure

* **Define strict rebalancing bands:** Set clear asset allocation threshold bands (e.g., +/- 5% deviation) to systematically force profit-taking and buying opportunities during cyclical swings.

* **Establish dynamic risk management rules:** Write out objective entry and exit criteria for market exposure based on valuation levels and macro indicators, removing emotional decision-making from market execution.

* **Schedule quarterly macroeconomic reviews:** Set a recurring calendar process to assess shifts in inflation, interest rates, and valuation multiples every 90 days.

WHO SHOULD READ THIS

* **Individual Investors & Early Retirees:** Anyone relying on equity investments to fund retirement within the next 5 to 10 years who needs to mitigate sequence-of-returns risk.

* **Financial Advisors & Wealth Managers:** Professionals who want to move beyond static Monte Carlo software simulations and offer client portfolios designed for secular macro regimes.

* **Portfolio Managers:** Allocators seeking a clear framework for understanding market returns by analyzing P/E dynamics, yield structures, and inflation regimes.

REFLECTION QUESTIONS

1. *Is my personal financial plan built on an assumed historical return average that ignores current starting valuations?*

2. *If the broad equity market delivers a 0% real return over the next decade, how will my portfolio strategy generate necessary cash flows?*

3. *Am I relying on passive buy-and-hold indexing because it is optimal for current market conditions, or simply because it worked well during the last bull market?*

4. *How vulnerable is my portfolio to sustained inflation shifts or unexpected deflationary pressures on P/E multiples?*

5. *Do I have a disciplined system for harvesting gains through cyclical rebalancing during sideways market regimes?*

FINAL WORD

True financial independence requires understanding the market engines that drive wealth accumulation. Ed Easterling's **Unexpected Returns** breaks through Wall Street marketing by demonstrating that multi-year market returns are bounded by starting valuations and macroeconomic inflation regimes.

By looking beyond historical averages and understanding P/E expansion and compression, you gain control over your portfolio's trajectory. Adapting your investment approach to the

prevailing secular regime protects your savings from lost market decades and builds lasting wealth across any economic environment.

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